

Nominal losses are recognised, but inflationary real losses are not

For a real loss, the loss credit is calculated using the unindexed cost base



50% discount; nominal losses recognised Real gains taxed; full loss offset Real gains taxed; nominal losses recognised

Asset cost base: \$1,000,000. Held for 10 years. Inflation: 2.5% per year. Tax rate: 30%. Full real loss offset is shown as a comparator.